

Equity stalled? Gold, debt and more can keep you moving

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The Sensex has largely been flat over the last one year. For investors, this raises a natural question: if equity alone cannot be relied upon for returns, how should one build wealth steadily? The answer lies in multi-asset allocation.



■ **Nikhil Gopalakrishnan**
CEO
Pentad Securities

Why look beyond equity

Equity is the engine of wealth creation. History shows that over the long term, it has the potential to generate high returns. Yet, the ride is never smooth. Periods of sharp growth are often followed by long stretches of consolidation. So, investors who hold only equities in their portfolio risk being caught off-guard in these flat or down phases.

This is where diversification among asset classes become important. Each of the other asset classes like debt, commodities like gold and silver play a unique role in a portfolio. Together, these assets respond differently to an economic development. As a result, when one lags, another often provides balance.

Case for multi-asset allocation

The performance of asset classes is cyclical and unpredictable. Also, no single asset class consistently outperforms

every year. In some years, equities top the chart. In others, gold or bonds do better. In 2024, while equities gained about 8 per cent, gold delivered more than 20 per cent return and bonds gained by about 9 per cent. This shows why depending on one asset alone can be risky. For a retail investor, trying to time these shifts is nearly impossible and that too in a tax-optimal manner.

Multi-asset allocation offerings recognise this reality. By spreading money across equity, debt, commodities, and even new avenues like REITs or InvITs, the portfolio becomes more resilient. The idea here is not to maximise returns in one year, but to build a structure that works well in varied market conditions.

Role of Asset Classes

Equity provides potential for capital appreciation and wealth creation.

Debt adds stability, predictable income, and cushions overall portfolio from volatility.

Gold and silver act as hedge against

inflation and global crises.

REITs and InvITs offer measured exposure to real estate and infrastructure with yield potential.

Some multi asset funds, as a means to enhance portfolio yield without adding significant risk, take covered calls. This helps especially in range-bound markets. When many of these asset classes come together, investors get an optimal portfolio that can withstand different market environments.

Long-term benefits

Data over decades shows that diversified portfolios tend to deliver steadier returns. In the three-year period ended September 4, 2025, multi asset allocation funds as a category has delivered nearly 16 per cent CAGR. In the five-year period, the category boasts of a CAGR of 16.8 per cent, as per Value Research data. These returns show the long-term benefits of investing across multiple asset classes.

Investors often panic during short-term downturns. A multi-asset approach reduces that stress because not every asset falls at the same time. Even if equities remain flat, debt or gold may keep the portfolio growing.

Conclusion

Think structure, not timing. Allocate across assets instead of betting on which asset class will win each year. Stay invested for long periods. Diversification shows its strength over five or ten years, not in months. Since managing multi asset allocation independently can be challenging due to various constraints, retail investors can opt for multi-asset allocation funds. These funds provide access to professional fund management to deliver results efficiently, and offer investors an all-weather investment solution for their overall portfolio.